Tamil Nadu Circular Economy Investment Policy, 2026

Turning Waste Into Value: From Compliance Burden to Industrial Opportunity

> **Why this matters:** This policy marks a major shift in how India manages industry and the environment. In the past, environmental rules mainly punished companies for breaking them, rather than rewarding good practice. Tamil Nadu now treats the reuse and recycling of materials — "circularity" — as a way to make industry more competitive, protect exports, and create local value.

CLEAN TECH & STORAGE
~128 GWh
Battery storage opportunity

ELECTRONICS & ICT
31,000+ T
Certified e-waste generated each year

AUTOMOTIVE SECTOR
1.56 Cr
Vehicles reaching end-of-life by 2030

1 VALUE CHAIN TRANSFORMATION & STRATEGIC TRADE ALIGNMENT

HOW WASTE BECOMES VALUE

- **Step 1 — Collecting Waste:** Organised collection of discarded material from factories and households.
- **Step 2 — Recovery & Processing:** Precise sorting, dismantling and extraction, using both mechanical and chemical methods.
- **Step 3 — Advanced Manufacturing:** Turning recovered material into low-carbon raw feedstock and precision parts.
- **Step 4 — Creating Economic Value:** Producing certified, high-quality remanufactured goods ready for export.

WHO BENEFITS, AND HOW

- **Trade Protection:** Shields Tamil Nadu's exporters from the EU's carbon border tax (CBAM).
- **Resource Security:** Cuts reliance on imported raw materials and minerals.
- **Global Supply-Chain Readiness:** Helps local suppliers qualify for green procurement by multinational companies.

2 POLICY ARCHITECTURE & CORE FISCAL INCENTIVES

SUPPORT	WHAT IT OFFERS, AND WHO QUALIFIES
Priority Sectors	**Textiles & Apparel** · **Electronics & Clean Tech** · **Automotive & Scrappage** · **Plastics & Packaging**
Capital Subsidy	10% back on eligible equipment costs, capped at ₹3 crore, paid over 5 yearly instalments. Requires a minimum ₹20 crore investment and at least 25 new jobs.
Workforce & EPF Support	Up to ₹20,000 per employee per month for tech roles, and up to ₹10,000 per employee per month toward EPF for shop-floor workers.
Low-Carbon SIPCOT Estates	Dedicated industrial land in SIPCOT estates, with shared waste-treatment and scrap-handling facilities.
Skill Development	₹10,000 per worker for training, funded through the Tamil Nadu Skill Development Corporation (TNSDC).

3 CRITICAL POLICY GAPS & STRATEGIC RECOMMENDATIONS

GAP	THE PROBLEM, SIMPLY PUT	RECOMMENDED FIX
MSME Entry Barriers	The ₹20 crore threshold shuts out small recyclers and risks replacing workers with automation.	Let 5–10 small units join a shared "consortium" to qualify together for support.
Weak EPR Enforcement	Fake recycling certificates and flat fees make cheap, low-quality recycling more profitable than proper recycling.	Base EPR fees on how recyclable and safe a product really is, checked digitally.
Testing & Certification	Too few testing labs risk letting toxic materials back into consumer products.	Apply international safety standards and create an official "remanufactured to OEM standard" label.
Upstream Design Deficit	Incentives reward recycling waste, not designing products to last longer or be repaired.	Offer tax credits for eco-friendly design and build repair networks with colleges and manufacturers.
Informal Sector Left Out	Waste-pickers have no formal recognition, leaving them in unsafe, insecure work.	Create a worker registry, formal collection centres, and statewide health & safety protections.

4 INCENTIVE ALIGNMENT & IMPLEMENTATION GOVERNANCE

THE 9-STEP CIRCULAR LADDER

Tier 1 — Reduce First
Refuse · Rethink · Reduce
Designing products to use fewer resources and last longer.

Tier 2 — Extend Life
Reuse · Repair · Refurbish · Remanufacture · Repurpose
Keeping products and parts in use for longer.

Tier 3 — Recover Materials
Recycle · Recover
Breaking products down for raw materials and energy.

Imbalance: Most funding supports Tier 3 (recycling) — the least effective option — while better design and repair get little support.

OPEN QUESTIONS

- **MSME Threshold:** Can the ₹20 crore limit be eased without weakening the policy's impact?
- **Verification:** Will testing and tracking actually guarantee safety?
- **EPR Tracking:** How will recycling claims be checked and enforced?
- **Workers & Hubs:** When and how will waste-picker collection centres be funded?
- **Financing:** Will GST rules, funding support and green bonds be enough to drive real adoption?

5 IMMEDIATE IMPLEMENTATION PRIORITIES & ROADMAP

1

MSME Threshold Reform
Create smaller investment tiers, under ₹5 crore, so small industrial clusters can qualify.

2

Quality & Testing Labs
Set up government-backed labs to test metals and plastics, stopping unsafe recycling.

3

Digital EPR Registry
Build a tamper-proof digital system to track recycling and prevent fraud.

4

Blended Green Finance
Use green bonds and government funding to support sorting and collection centres.

In short: the Tamil Nadu Circular Economy Investment Policy (2026) is a forward-looking industrial plan. By closing the funding gap for small businesses, strengthening certification, and formally recognising informal workers, the state can build lasting export strength, resource independence, and long-term industrial competitiveness.